



# Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

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**121.6M ETH**

Total Supply

**\$2,243**

ETH Price

**0.1 Gwei**

Base Gas

# ETH Supply Growing at +0.83%/Year

Only 192 ETH Burned vs 19,638 ETH Issued in 7 Days

**+19,445.89**

ETH Net Change (7d)

+0.83%/year annualized

**+19,638**

ETH Issued (7d)

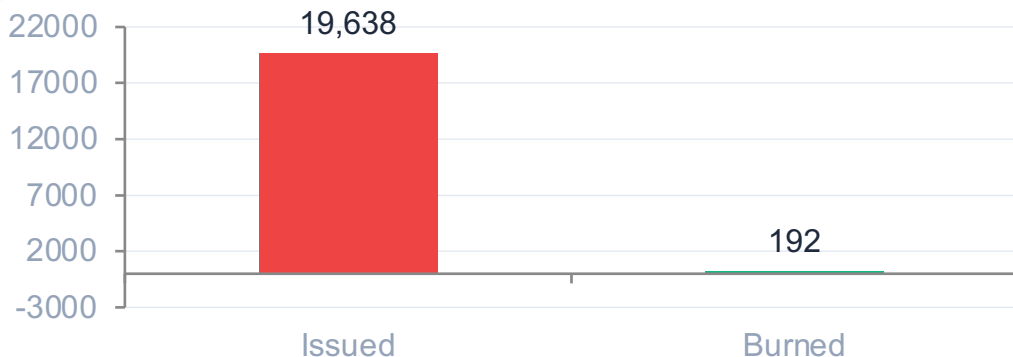
Validator rewards

**-192**

ETH Burned (7d)

EIP-1559 base fees

## Issuance vs Burn Offset



Current Total Supply: 121,603,980 ETH

**0.01x**

Burn Issuance Ratio

Burns offset only ~1%  
of new issuance

# Base Gas at Historic Lows: 0.1 Gwei

## Average

*Low gas = low burn = temporary supply inflation*

### 7-Day Gas Range (Gwei)

0.0

Min

0.1

Avg

1.3

Max



### Blob Gas (EIP-4844)

7.1M wei

avg blob gas price

0.15 ETH

blob fees burned (7d)

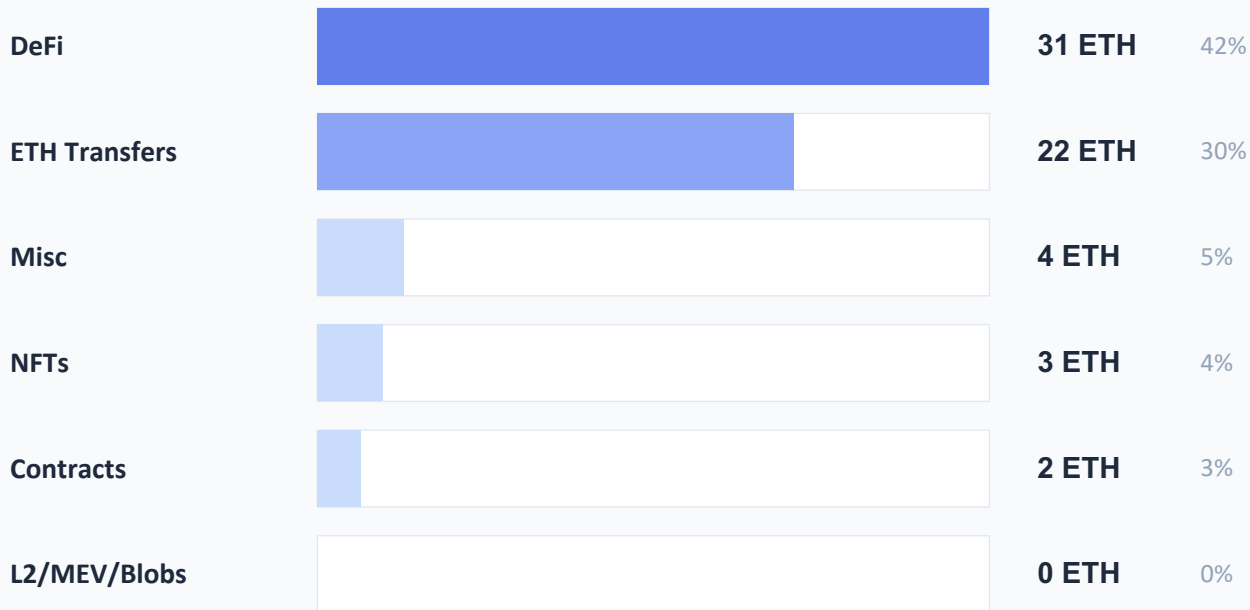
# 22 Gwei

Long-term equilibrium assumption used in supply projections — far above current 0.1 Gwei levels. Sustained on-chain activity required to reach deflationary state.

**Key Insight:** The EIP-1559 burn mechanism is structurally sound but its effectiveness is entirely dependent on sustained on-chain activity. At current gas levels, burns offset only ~1% of issuance.

# DeFi & ETH Transfers Account for 85% of Fee Burn

7-Day Burn Categories (Total: ~192 ETH)



## Top Burn Sources

|               |       |
|---------------|-------|
| ETH Transfers | 21.74 |
| Tether USDT   | 13.55 |
| Uniswap V3    | ~3    |
| Aave          | ~2    |
| Others        | ~2    |

*Note: Block-level burns range from 0.00–0.01 ETH per block in current low-activity environment. 7-day burn record: 0.07 ETH in a single block.*

# 38.9M ETH Staked at 2.7% Issuance Rewards

validator rewards breakdown and the staking scarcity engine



## 38.9M ETH

Total Staked (~32% of supply)



## 9.1M ETH

Locked in Staking Contracts

Avg 10.7 year time span



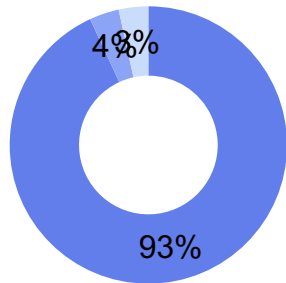
## ~2,800

ETH/day

## 0

PoS Issuance Rate

## Reward Composition



■ Issuance (2.7%)

■ Tips (0.1%)

■ MEV (0.1%)

# ~2.9%

Total Validator APR

Primarily from protocol issuance (~93%)

Tips and MEV contribute <1% combined

# Long-Term Equilibrium: 125.7M ETH

200-year supply trajectory converging toward equilibrium at 22 Gwei average gas

## Key Parameters

|                      |             |
|----------------------|-------------|
| ETH Staked           | 39M         |
| Base Gas Assumption  | 22 Gwei     |
| Equilibrium Supply   | 125.7M ETH  |
| Annual Issuance-Burn | ~1,037K ETH |

## Effective Rates at Equilibrium

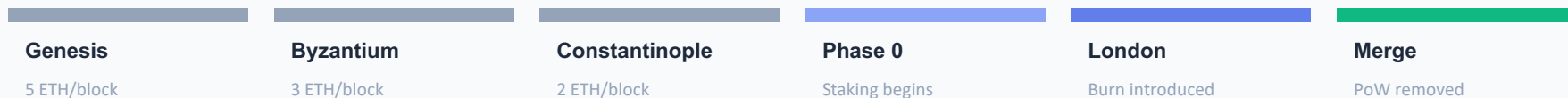
2.7%

Issuance APR for stakers

1.2%

Burn rate for non-stakers

## Era Transitions



## Supply Growth Trajectory



# ETH at 18.7% of Bitcoin's Market Cap

Total Value Secured breakdown and flipping progress

18.70%

of Bitcoin

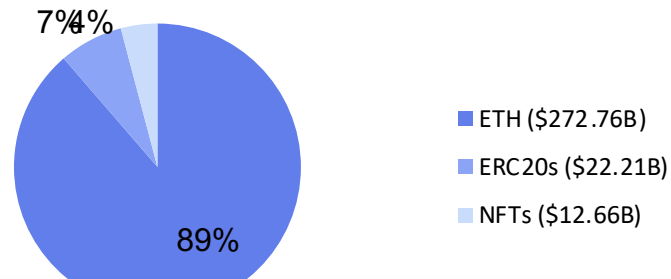
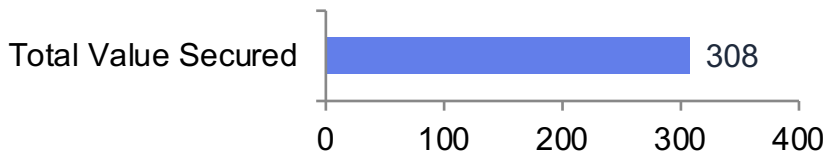
1.30%

of USD

0.89%

of Gold

**Total Value Secured: \$307.6B**



## Top ERC20s

Dai \$4.41B | SHIB \$3.51B | Cronos \$2.97B | Tether Gold \$2.65B

## Top NFTs

CryptoPunks \$2.13B | BAYC \$0.68B | ENS \$0.63B | Pudgy \$0.51B

# Key Takeaways

*Ultra Sound Money Thesis Intact — Gas Activity Is the Critical Variable*

## 1 **Currently Mildly Inflationary**

ETH at +0.83%/year due to historically low gas (avg 0.1 Gwei). Burns offset only ~1% of issuance.

## 2 **Burn Mechanism Works — When Active**

EIP-1559 is structurally sound but requires sustained on-chain activity to reach deflationary state.

## 3 **38.9M ETH Staked = Major Supply Lock**

32% of supply locked in staking with 10.7 year avg time span. Validators earn ~2.7% APR from protocol issuance.

## 4 **Long-Term Equilibrium at 125.7M ETH**

Projected at 22 Gwei average gas with ~1,037K ETH/year issuance-burn balance at equilibrium.

## 5 **\$307B+ TVS & 18.7% of Bitcoin**

*The ultra sound money thesis depends on on-chain activity recovery. Watch gas levels — they're the canary in the coal mine for ETH's deflationary future.*